Economics

March 2, 2026

The Conflict with Iran: FAQ with the Team

Special Commentary

Economist(s)

Tom Porcelli

This is obviously a very fluid situation and as the facts on the ground evolve so too will the economic impact. As a framing, just bear in mind that, absent a prolonged war and major long-term disruptions to key shipping routes in the Strait of Hormuz, the impact on U.S. economic growth, inflation and monetary policy should remain modest. Of course, the opposite also could be true.

Our model simulations of 10% and 30% sustained increases in oil prices do not come close to generating a U.S. recession or markedly changing the trajectory for core inflation. Headline inflation does move higher via higher energy prices for the consumer, but the drag on real consumer spending and thus economic growth is muted in these scenarios (0.1-0.2 percentage points for the year).

Central banks typically look through oil-driven inflation shocks, and we expect this time to be similar. We expect the FOMC to take the long view, and the weekend's events probably will not have a major impact on the Federal Reserve's reaction function. Our forecast for 50 bps of rate cuts this year remains unchanged. Similarly, we are not making any changes to our G10 or EM central bank forecasts at this time. In the very near term, we expect central banks around the world to remain in wait-and-see mode as they await additional clarity on the geopolitical situation.

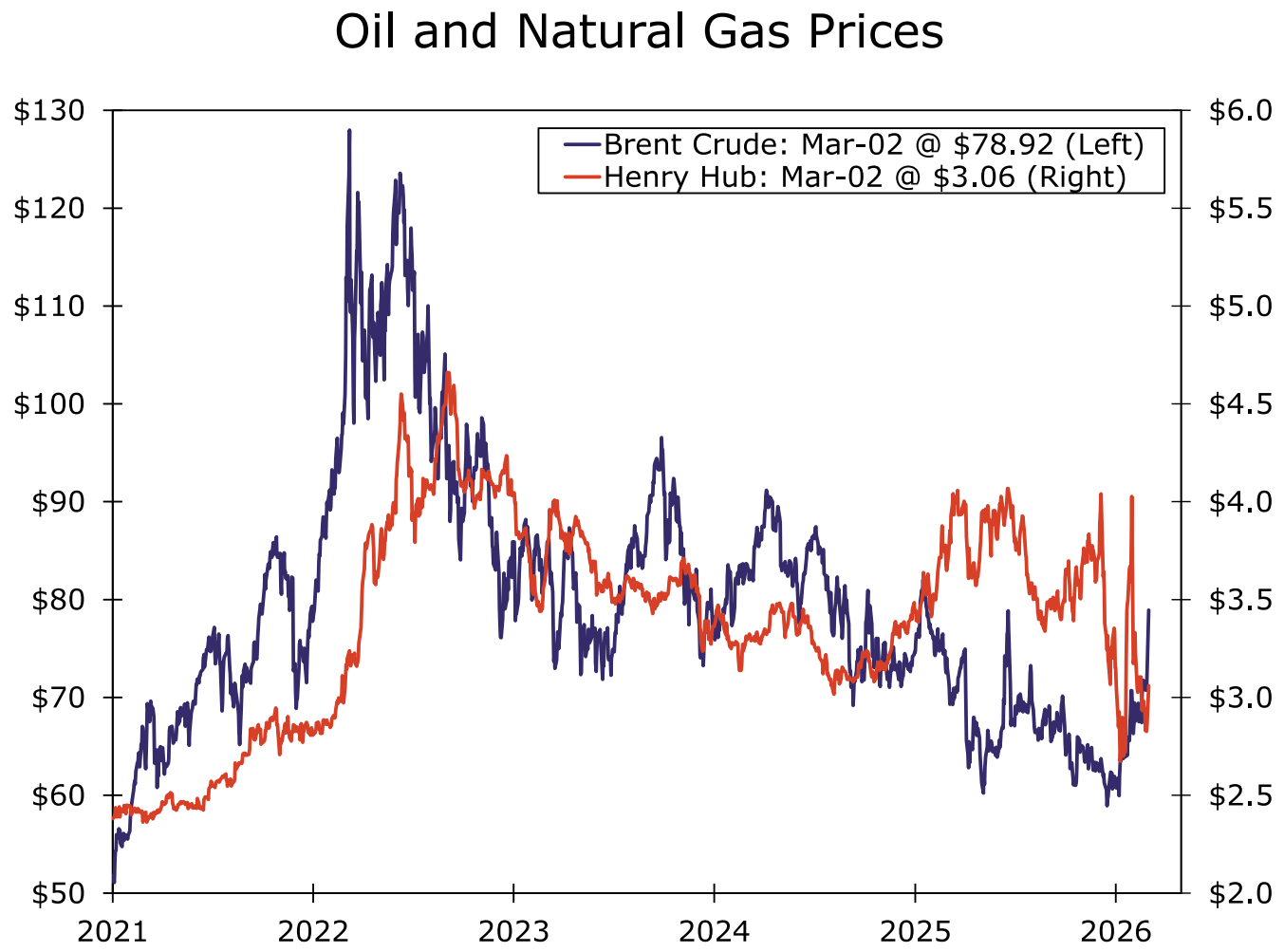
Below, the Team responds FAQ style to some of the most common questions we have received in the past 72 hours on this topic:

- What happens to U.S. inflation in the wake of an oil-price shock?
- What does history say about consumer confidence sensitivity to energy spikes?
- How big of a hit could we expect an oil price shock to have on U.S. economic growth?
- Will a surge in commodity prices slow the U.S. tech build out?
- How will the Fed react to the conflict?
- Could more Fed easing be coming?
- How will foreign central banks respond?

What happens to U.S. inflation in the wake of an oil-price shock?

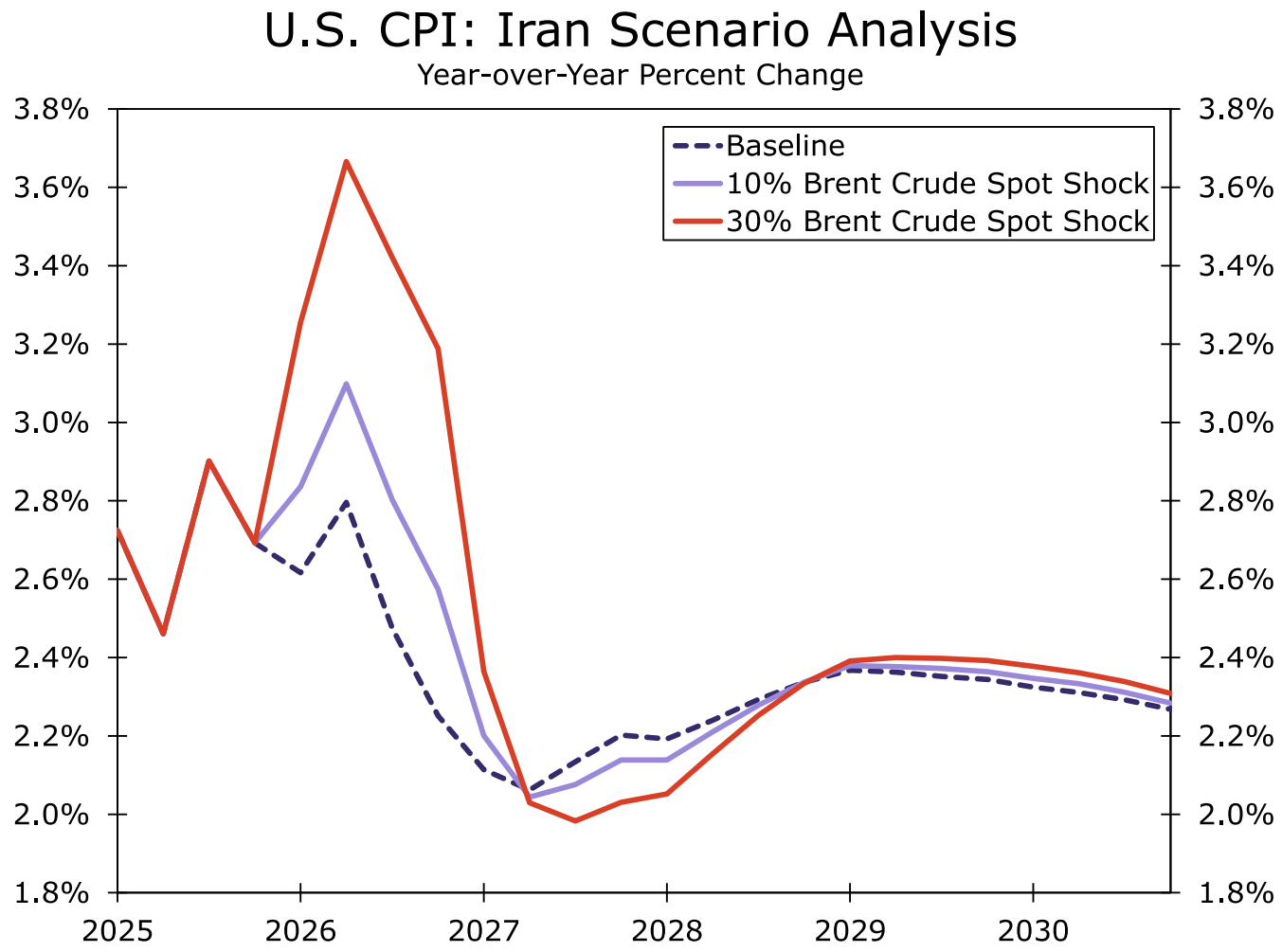
- **Oil prices were already moving up over the past couple of weeks in anticipation of potential escalation**, but the price of Brent crude has risen $7 since the U.S. strikes, or about 14% above its February average. Henry Hub natural gas prices are also up 6% in the wake of the strikes (Figure 1). **Higher oil prices would need to persist to meaningfully impact the U.S. economy**, as a sharp spike followed by a rapid normalization would not have much of an impact.
- To assess the potential U.S. macro impact from the military escalation, we run two scenarios: (1) a sustained 10% rise in Brent oil prices from a baseline expectation of around $65/barrel on average in Q1, and (2) a larger, sustained 30% rise in oil prices, which is closer to the spike that occurred immediately following Russia's invasion of Ukraine in early 2022.
- **A 10% sustained rise in oil prices would add roughly 0.3 percentage point to the year-over-year rate of headline consumer price inflation in the second and third quarter of this year**, whereas a 30% rise would lift the one-year change closer to a full percentage point (Figure 2). The impact on core inflation would be much more modest (a few tenths with a 30% rise in oil prices) but not zero. This upward pressure on oil prices would reverse what has been one notable tailwind for disinflation and consumer spending over the past year; since last January, energy goods prices are down 7.3% compared to the 2.4% increase in headline CPI.

Figure 1



Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 2



Source: Oxford Economics and Wells Fargo Economics

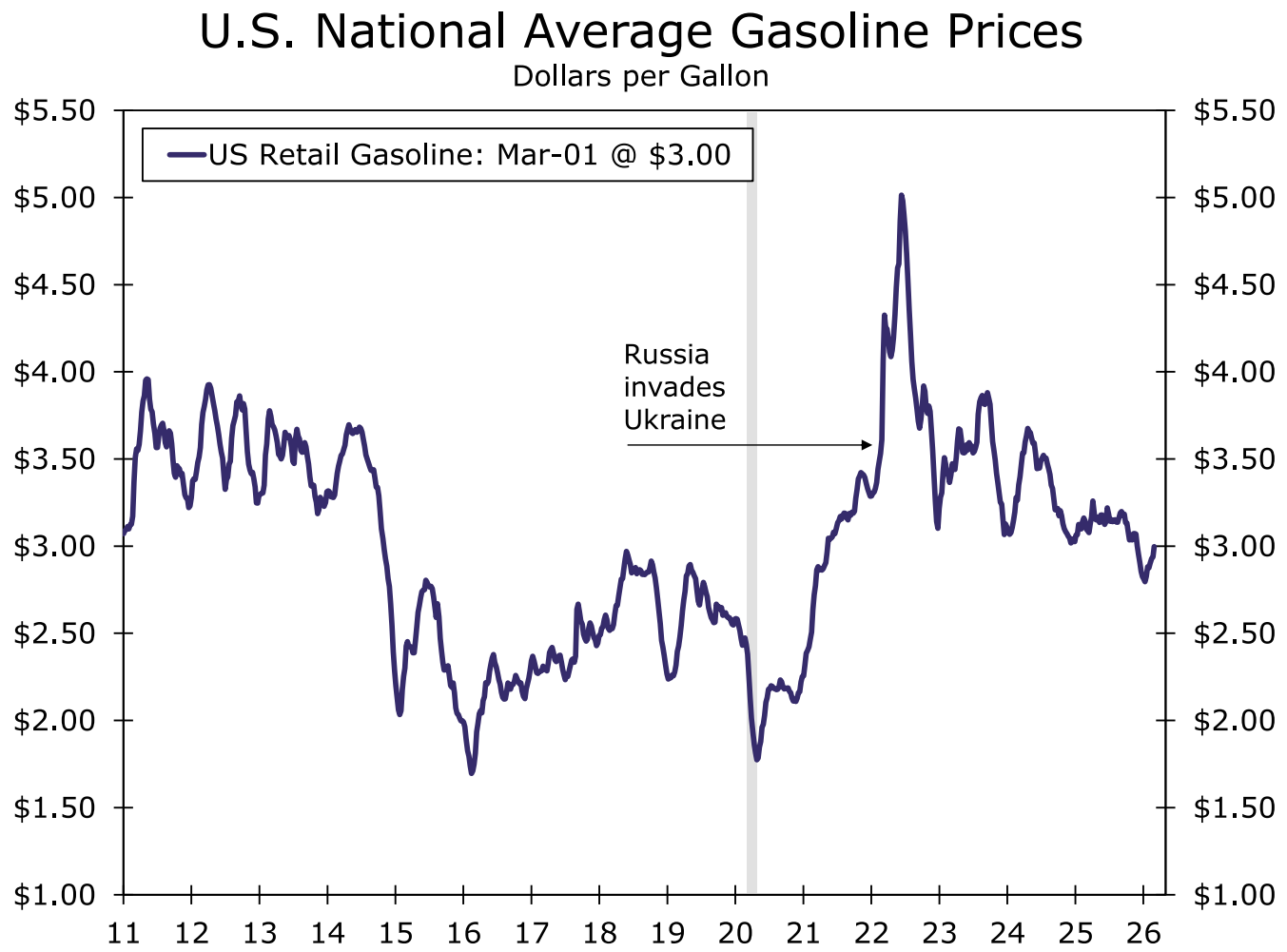
What does history say about consumer confidence sensitivity to energy spikes?

- **U.S. consumer confidence tends to correlate more strongly with jobs and inflation than foreign conflict headlines.** Of course, foreign conflict and inflation can also go hand in hand. That makes retail energy prices (mostly gasoline) the most important consideration for many households as it relates to this conflict. The average national price at the pump currently sits around $3/gallon. In the immediate wake of Russia's invasion of Ukraine in February 2022, the average price initially jumped and remained elevated for around four months before receding (Figure 3). **In the end, the fate of pump prices and the consumer's reaction function will be dictated largely by any prolonged disruptions in the Strait of Hormuz.**

How big of a hit could we expect an oil-price shock to have on U.S. economic growth?

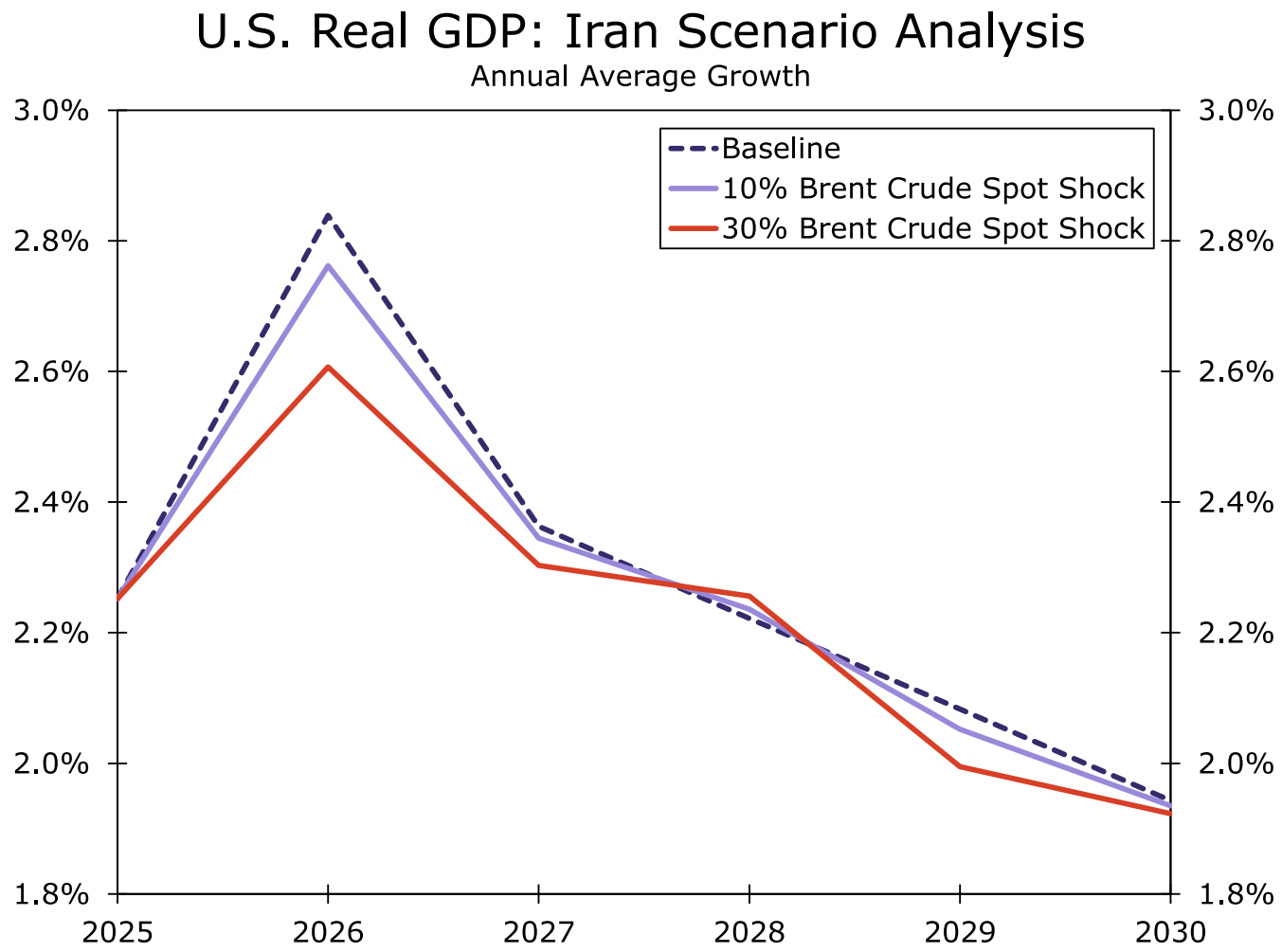
- **Our model simulations suggest a 10% rise in oil prices would dampen average annual U.S. GDP growth by a very modest 0.08 percentage points (pp) this year** (Figure 4), primarily through lower consumer spending with a 0.15pp reduction in real personal consumption expenditures growth. Business fixed investment spending actually rises modestly in this scenario, likely due to higher oil prices spurring some additional investment in domestic oil and gas production, which happened in the wake of Russia's invasion of Ukraine. Even in the 30% price-shock scenario, the hit to real GDP growth this year is only 0.23pp. **It takes very large and persistent gas price increases to meaningfully restrain household consumption.**

Figure 3



Source: AAA, Bloomberg Finance L.P., and Wells Fargo Economics

Figure 4



Source: Oxford Economics and Wells Fargo Economics

Will a surge in commodity prices slow the U.S. tech build out?

- **A temporary spike in oil and gas prices will pressure input costs but not meaningfully limit the pace of new data center construction.** Higher energy commodity prices will likely flow through to building material and freight costs, representing a modest headwind to new development. Operationally, data centers are increasingly powered by natural gas, and while higher global LNG prices could have modest short-run negative cost implications, we generally do not see increased energy prices as a major limitation on new construction.

- **The tech buildout relies on other trade routes.** The Straight of Hormuz is a key energy chokepoint, but high-tech trade flows are minimal with the Straight of Malacca serving as the primary passage for global electronics, advanced chips, critical minerals and other inputs predominantly sourced from Asia. For the U.S., tech shipments from Asia are straight-shotted to West Coast ports or routed through the Panama Canal. **So long as supply disruptions are contained to Hormuz, the negative effects on high-tech capex should be limited.**

How will the Fed react to the conflict?

- **The weekend's events probably will not have a major impact on the Federal Reserve's reaction function.** A jump in oil prices would generate higher headline inflation, but this would be driven by a supply shock rather than overly hot aggregate demand. Accordingly, tighter monetary policy would do little to mitigate the hotter inflation and instead would further compound the hit to economic growth. **In short, a supply-driven oil price shock is a classic example of something most FOMC officials will attempt to "look through."**

- Key will be the behavior of inflation expectations. The Fed will likely be sensitive to any notable deviations from what have been well-behaved inflation expectations. But again, any unanchoring here would stem from prolonged conflict and persistently higher energy prices. If higher prices in the short-run start to lead to higher expected inflation in the future, the inflationary shock can become more persistent. In 2021-2022, inflation expectations rose abruptly across a broad range of measures, causing the FOMC concern that the higher inflation of the time may not prove to be transitory (Figure 5).

Could more Fed easing be coming?

- **We doubt more easing will be forthcoming than our base case projection of 50 bps** (Figure 6). We expect the impact on the U.S. economy from the conflict to be modest, and we think the FOMC will take the long view on this rather than knee-jerk react in a foggy environment. While we suspect the FOMC will want to "look through" higher inflation from a jump in energy prices, they also may be wary about adopting accommodative monetary policy given the past five years (and counting) of above-target inflation. **In the very near term, we expect the FOMC to remain in wait-and-see mode as they seek additional clarity on the geopolitical situation.**

Figure 5

Source: Federal Reserve System, Bloomberg Finance L.P. and Wells Fargo Economics

Figure 6

Source: Federal Reserve Board and Wells Fargo Economics

How will foreign central banks respond?

- Under our assumption that renewed military confrontation in the Middle East proves to be a temporary shock, international central banks are unlikely to adjust monetary policy paths all too materially. Similar to how we are thinking about the Fed, foreign central bank policymakers are likely to view the rise in oil and broader energy prices as a supply shock rather than a sharp upswing in demand. In that sense, pre-conflict guidance on rates is likely to remain in effect, and **we are not making adjustments to our G10** (Figure 7) **nor EM** (Figure 8) **central bank policy rate forecasts**. At the same time, central banks will weigh the increase of geopolitical uncertainty on investor sentiment adding to existing downside risks to growth from trade and policy uncertainty. As such, **absent a more sustained disruption from the Middle East, we see greater asymmetry of global central banks to ease policy**.

- For advanced economy central banks where we forecast rate cuts prior to renewed conflict in the Middle East (e.g., Bank of Canada and Bank of England), our conviction in those calls is stronger, and we believe the balance of risk is now tilted toward more BoC and BoE easing than we currently forecast. Central banks where we felt the pre-conflict balance of risk was asymmetrically tilted toward restarting easing cycles (e.g., European Central Bank) may now have new rationale to lower rates. And in Japan, we already hold a less hawkish view on Bank of Japan rates than market pricing, a place we remain comfortable.

- **Emerging market economies are more exposed to events in the Middle East** and have more exposure to two-sided risks, but under the assumption of only temporary market disruptions, **we do not believe EM central bank preferences for rates are set to change**. Oil price shocks can be more impactful in EMs as energy tends to account for a greater share of CPI baskets relative to advanced economies. But if energy price rises are temporary, a transitory disruption to disinflation trends can also be shrugged off by EM policymakers. Also, and while not unique to EMs, local currency depreciation and the subsequent pass-through to prices is more of a risk in EMs. For now, EM currencies are under only modest pressure, which for us, is not enough to generate less dovish or more hawkish postures from major EM central banks. Even in a scenario where EM FX depreciation is more intense or longer-lasting, EM currencies have rallied over the past 12–18 months. Baked in currency strength offers central banks a degree of flexibility to maintain easing biases, or at least not rush to communicate rate hikes, going forward.

Figure 7

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 8

Source: Bloomberg Finance L.P. and Wells Fargo Economics

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Economics

February 27, 2026

February Employment Preview: Back to Payroll Reality

Special Commentary

Economist(s)

Tom Porcelli

Sarah House

Michael Pugliese

Nicole Cervi

Summary

- We expect the February employment report to show that January's robust pace of job growth overstated underlying momentum in the labor market. We look for nonfarm payrolls to rise 45K in February, moderating from its current three-month average pace of 73K (Figure 1). While some stabilization in labor demand is evident, a range of indicators, including JOLTS and consumers' perception of job availability, continue to point to a gradual loosening in labor market conditions rather than a renewed acceleration in hiring (Figure 2).

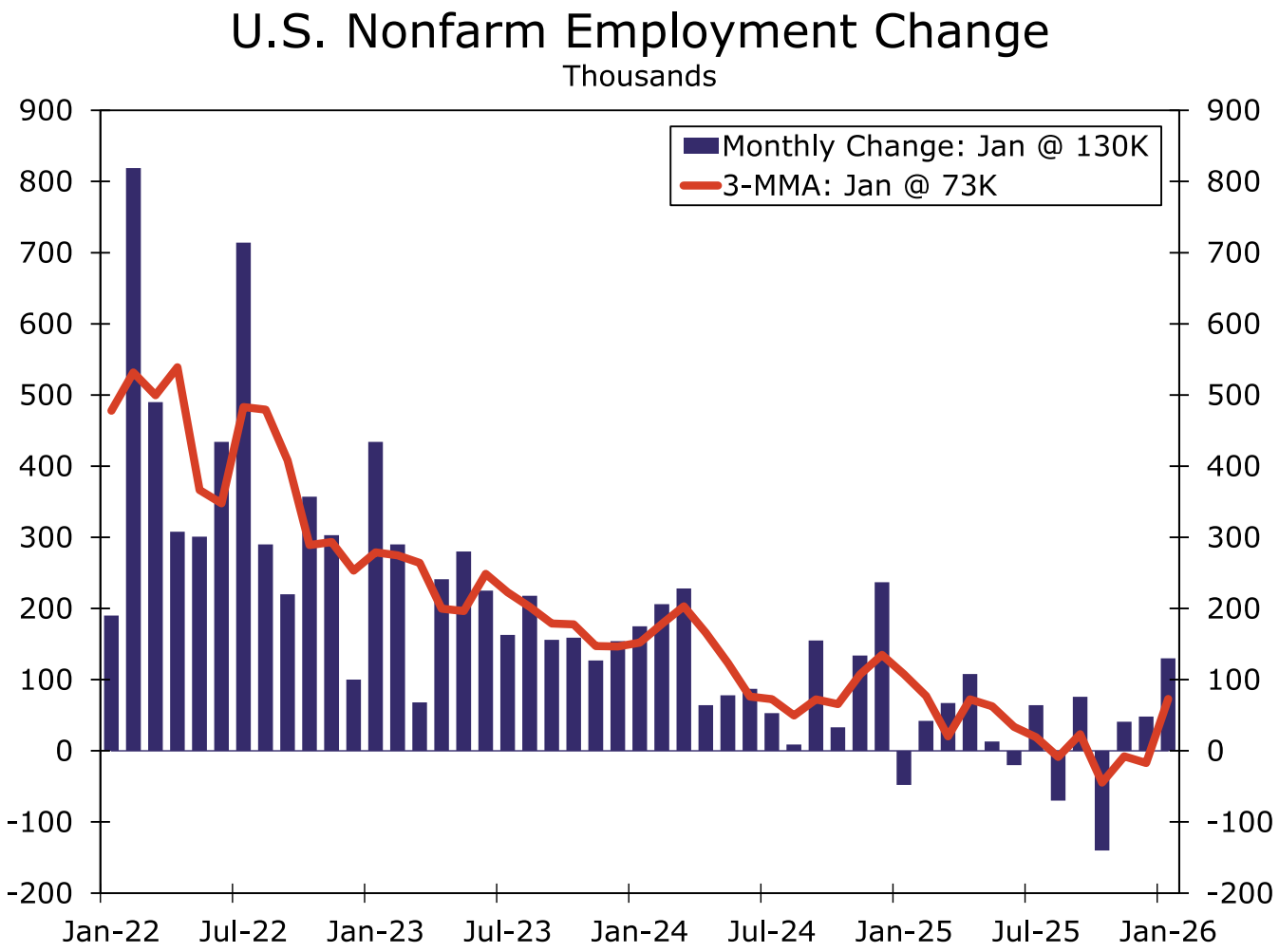
- Looking across industries, last month's outsized gain in healthcare & social assistance is unlikely to be repeated (Figure 3). We expect either a downward revision to January and/or some payback with a sub-trend reading in February for this sector. Although recent winter storms largely missed the payroll survey weeks, poor conditions throughout the month likely restrained hiring activity in weather-sensitive sectors, such as leisure & hospitality and construction. By contrast, federal government job cuts should be starting to lose steam, which should help to lessen the drag on employment from the public sector. Netting out our expectation for a roughly 10K decline in government employment, we look for private sector payrolls to rise 55K in February.

- The upcoming jobs report will incorporate the delayed annual population control to the household survey. The adjustment will revise the civilian non-institutional population in January 2026 to better align with the latest Census Bureau estimates. Historical data prior to 2026 will not be revised, leading to a step-change in the January levels. Accordingly, the *levels* of employment, unemployment, the labor force, etc. will not be directly comparable on a year-ago basis. *Ratios* such as the unemployment rate and labor force participation rate should be less impacted, although they too may not be entirely immune if the adjustments reveal a meaningful change in the composition of the population.

- We look for the unemployment rate to hold at 4.3% in February, but we would hasten to add there are a number of cross currents this month that generate quite a lot of two-sided risk. The population control adjustments pose some downside risk, in our view, given the immigration shifts we have seen this year (Figure 4). At the same time, the household survey's measure of employment growth has been running well ahead of its trend the past two months, leaving some scope for payback in February that could push the jobless rate up to 4.4%. But in the end, we think these cross currents will net out to keep the u-rate steady.

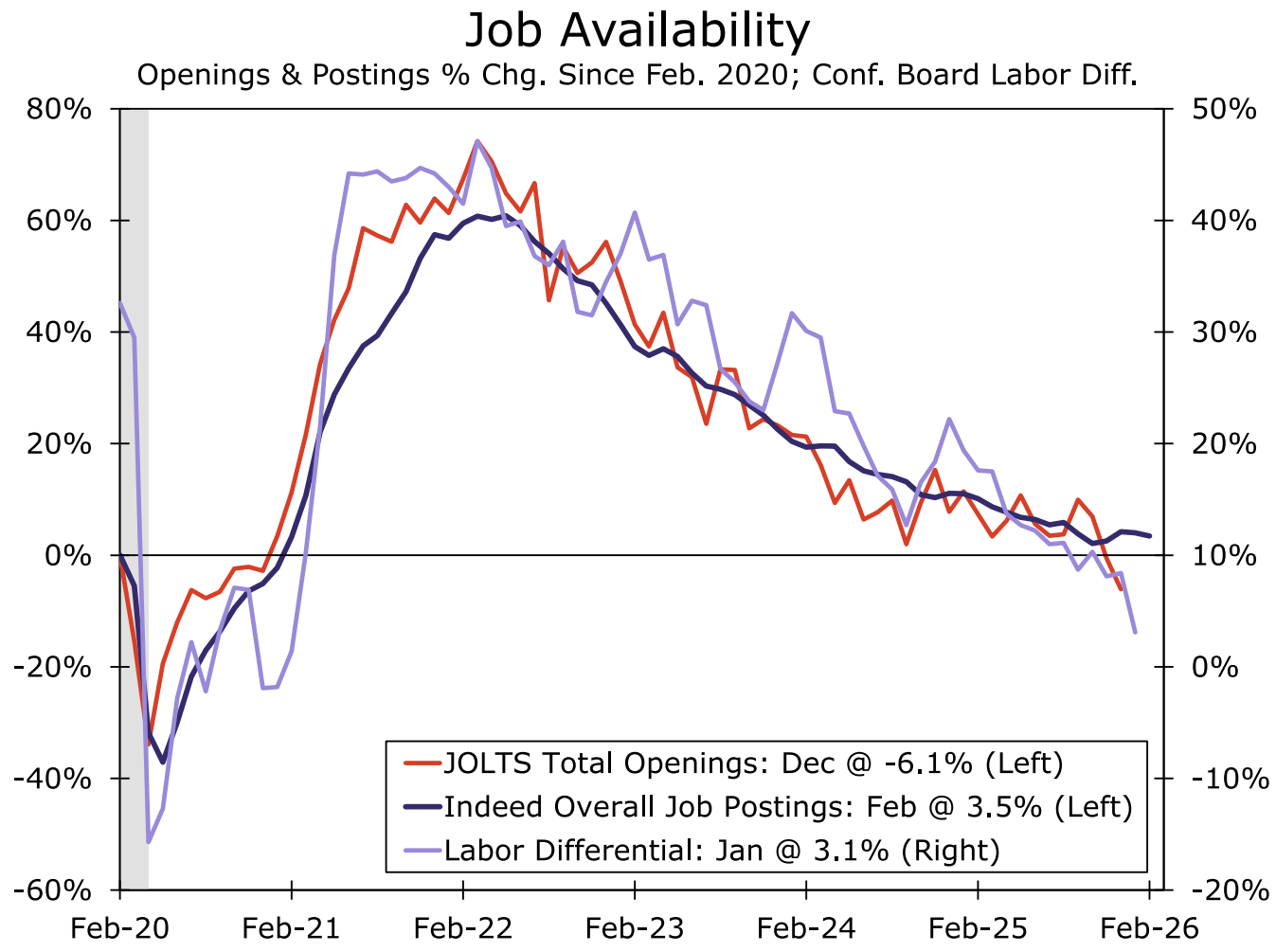
- After a stronger-than-expected gain in January, we expect average hourly earnings growth to return to a trend-like increase of 0.3% month-over-month in February. If realized, AHE would hold steady at 3.7% year-over-year.

Figure 1



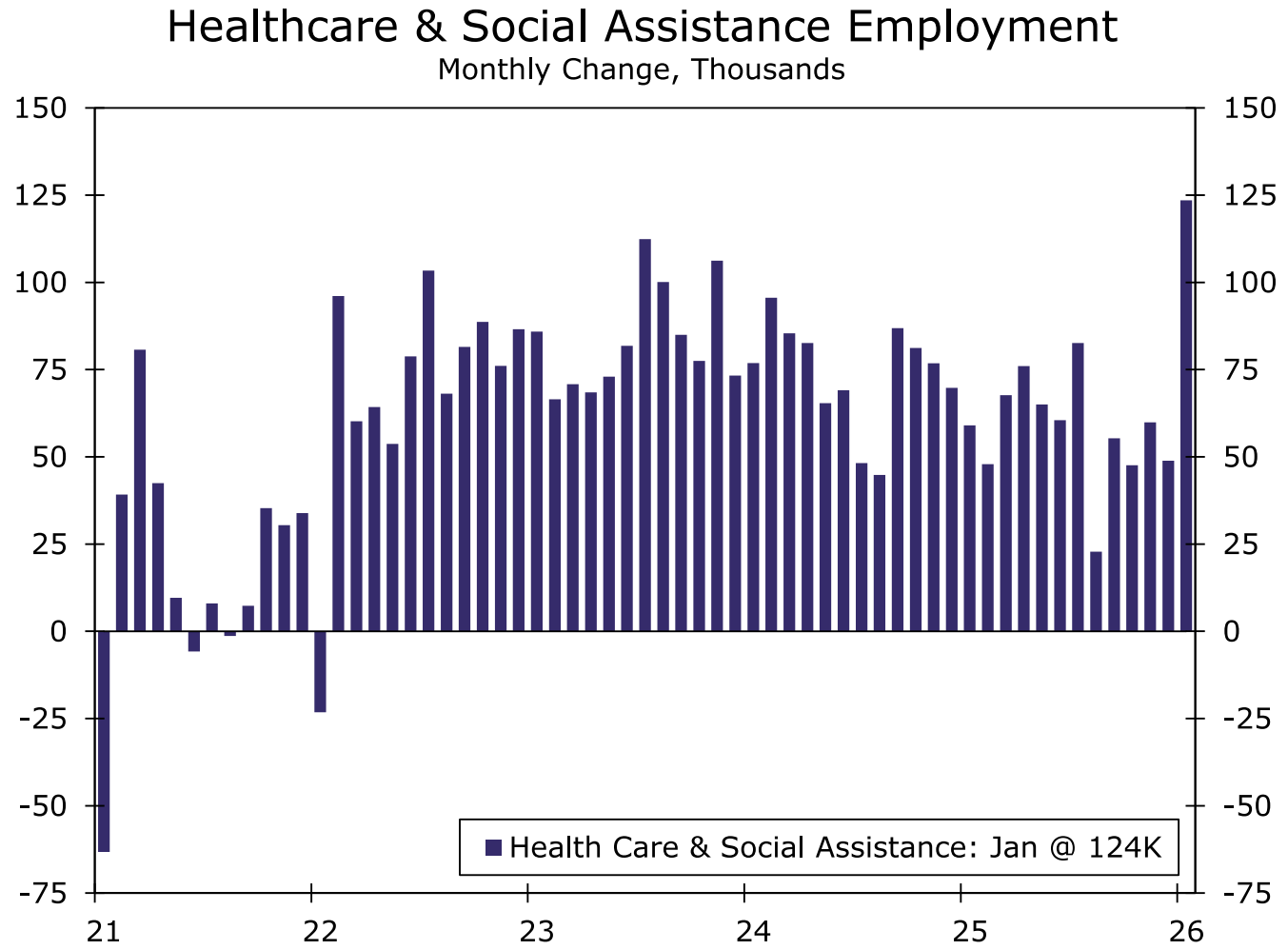
Source: U.S. Department of Labor and Wells Fargo Economics

Figure 2



Source: U.S. Department of Labor, Indeed Inc., the Conference Board and Wells Fargo Economics

Figure 3



Source: U.S. Department of Labor and Wells Fargo Economics

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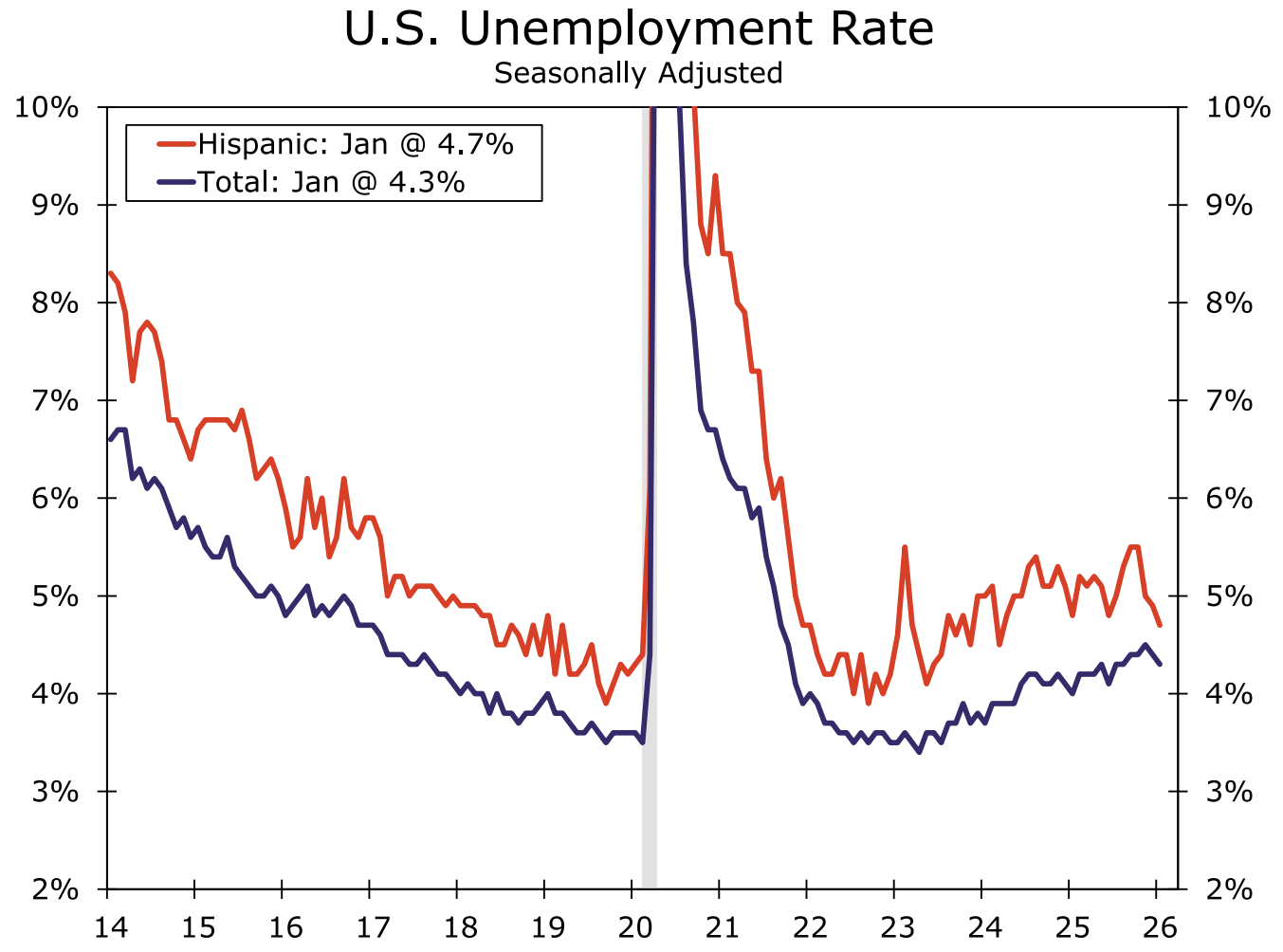

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Economics

February 20, 2026

What The Supreme Court Ruling Means for Tariffs...and What It Doesn't

Special Commentary

Economist(s)

ⁿ Shannon Grein

ⁿ Tim Quinlan

Summary

- As expected, the Supreme Court struck down the president's authority to levy tariffs under the International Emergency Economic Powers Act (IEEPA). President Trump was quick to announce new tariffs. The bottom line is **these actions did not deliver complete relief to affected importers, but it did ease their burden even if refunds will take awhile**.
- **The ruling invalidates the legal basis for IEEPA tariffs, but it does not trigger automatic refunds**. Importers must pursue refunds individually through established claims processes.
- **Potential refunds are large, but unlikely to be fully realized**. Roughly $264B in tariff revenue was collected last year, and we estimate about half—around $130B—was collected under IEEPA. The true total may be somewhat higher once January–February collections are included, but refunds will be handled case by case, meaning not all IEEPA tariff revenue is likely to be returned.
- **Any refunds will arrive gradually**. Payments are expected to trickle in over months, if not years, and should be delivered directly to the importers who originally paid the tariffs.
- The administration retains the ability to re-impose tariffs, but **nothing grants the President the same broad power with immediate effect as IEEPA would have**.
- **President Trump announced a 10% global tariff under Section 122 of the Trade Act of 1974 "effective immediately"**. He also announced starting Section 301 investigations.
  - *Section 122, Trade Act of 1974*: President can impose tariffs up to 15% for 150 days to address balance-of-payments issues. Tariffs can be extended indefinitely with Congressional approval. No federal investigation required.
  - *Section 301, Trade Act of 1974:* U.S. Trade Representative can impose tariffs for four years, under the President's direction, if it finds unjustifiable, unreasonable or discriminatory action against U.S. businesses and/or a violation of trade agreements. Tariffs may be imposed indefinitely, if continuation is requested and extended every four years.
- This action keeps the 10% baseline global tariff effectively active, but lowers the higher IEEPA tariff burden for countries exposed to 'reciprocal' tariffs under IEEPA. T**hese actions result in a lower total tariff burden**. We estimate the average U.S. effective tariff rate is now around 13% in the wake of today's actions, rather than the ~16% based on policy as of yesterday.
- **Tariffs weighed on U.S. goods imports last year** as firms were cautious about committing to foreign sourcing amid unsettled and frequently changing tariff policy. Some shifts in trade flows signal some rejiggering of sourcing, though permanent effects may be overstated thus far.

The Court Ruling is Something Short of a Complete Policy Reset

The Supreme Court's decision to strike down the administration's broad-based tariffs imposed under the International Emergency Economic Powers Act (IEEPA) marks a meaningful legal turning point, but not a clean policy reset. The ruling invalidates reciprocal and fentanyl-related tariffs enacted under IEEPA, opens the door for importers to seek refunds potentially totaling around $130 billion, and sharply curtails the president's authority to impose sweeping tariffs without involvement.

What the decision does not do is remove tariffs from the trade policy landscape. Alternative statutory paths remain available to the administration, while none confer the same breadth or immediacy as IEEPA. In fact, President Trump announced today that all existing Section 232 and 301 tariffs remain in effect, and a 10% global tariff takes effect immediately under Section 122. He also announced the start of Section 301 investigations.

Navigating the Detour: Trade Flows in a Still-Tariffed World

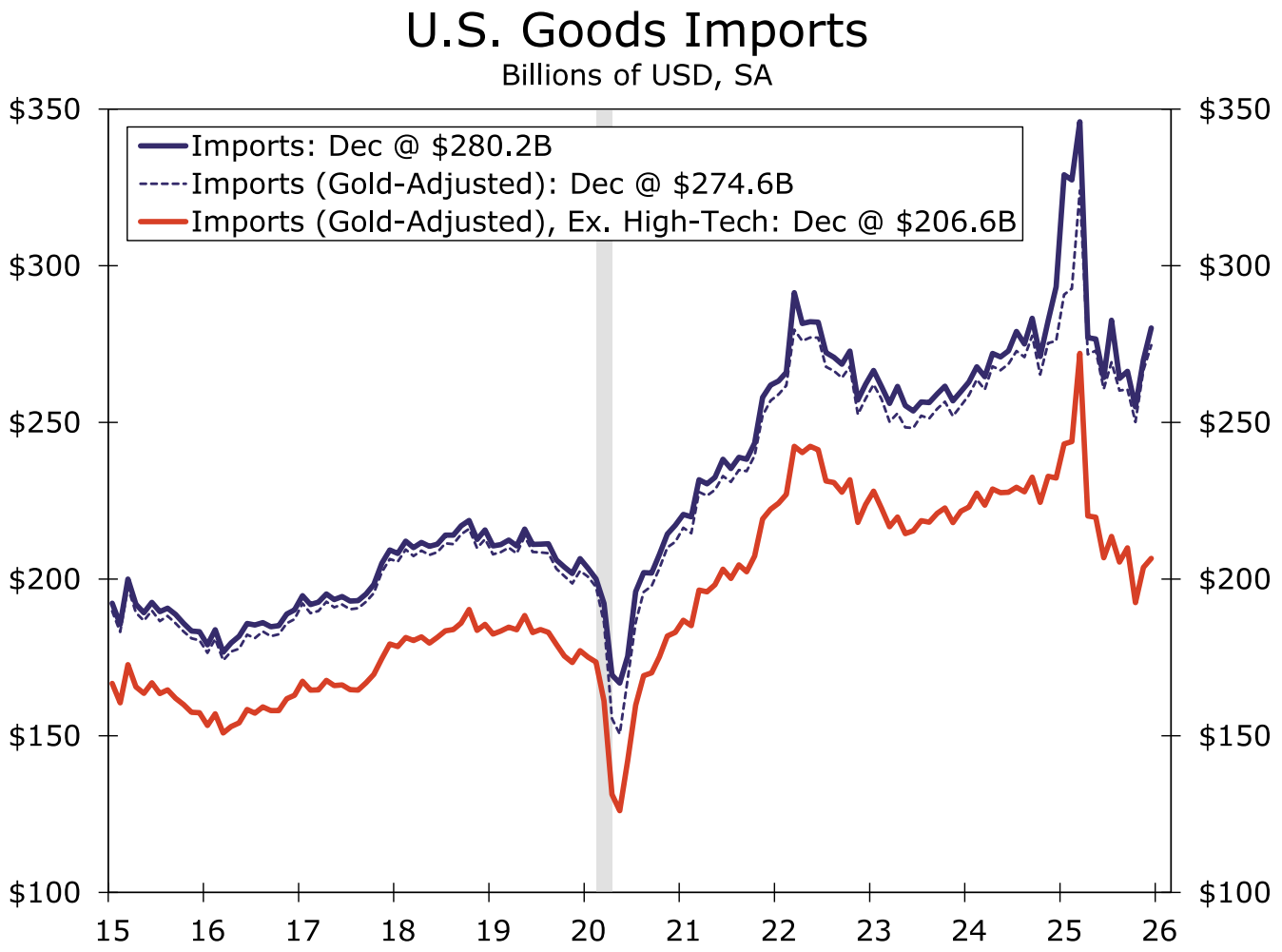
The experience of U.S. importers over the past year makes clear that tariffs constrained trade less by raising costs outright than by injecting persistent uncertainty into sourcing decisions.

The U.S. collected nearly $265 billion in tariff revenue last year, more than three times the amount collected in 2024. Measured against total imports that means the realized average effective tariff rate rose to roughly 8% last year, up from just under 3% the year prior. With a full year of data now available, the key question is how this dramatic increase in tariffs ultimately affected U.S. import behavior.

At first glance, the answer appears counterintuitive. Total goods imports increased last year, rising 4.3% above 2024 levels. But, that top line figure obscures important underlying weakness. Once gold-related categories are excluded, the annual gain in goods imports is cut roughly in half, suggesting the headline strength overstates the true momentum in import growth.

A closer look reveals that import growth was highly concentrated in a narrow set of categories, particularly high-tech goods. Imports of computers, computer accessories, communications equipment, and semiconductors surged 35% over the year, consistent with other indicators showing businesses prioritizing investment in all things tech being viewed as critical to future competitiveness. While these categories were not the only contributors to import growth, they were decisive. Excluding them entirely, goods imports *fell* 3.6% last year (Figure 1). The lag in underlying imports suggests firms were cautious about committing to foreign sourcing amid unsettled and frequently changing tariff policy.

Figure 1



Source: U.S. Department of Commerce and Wells Fargo Economics

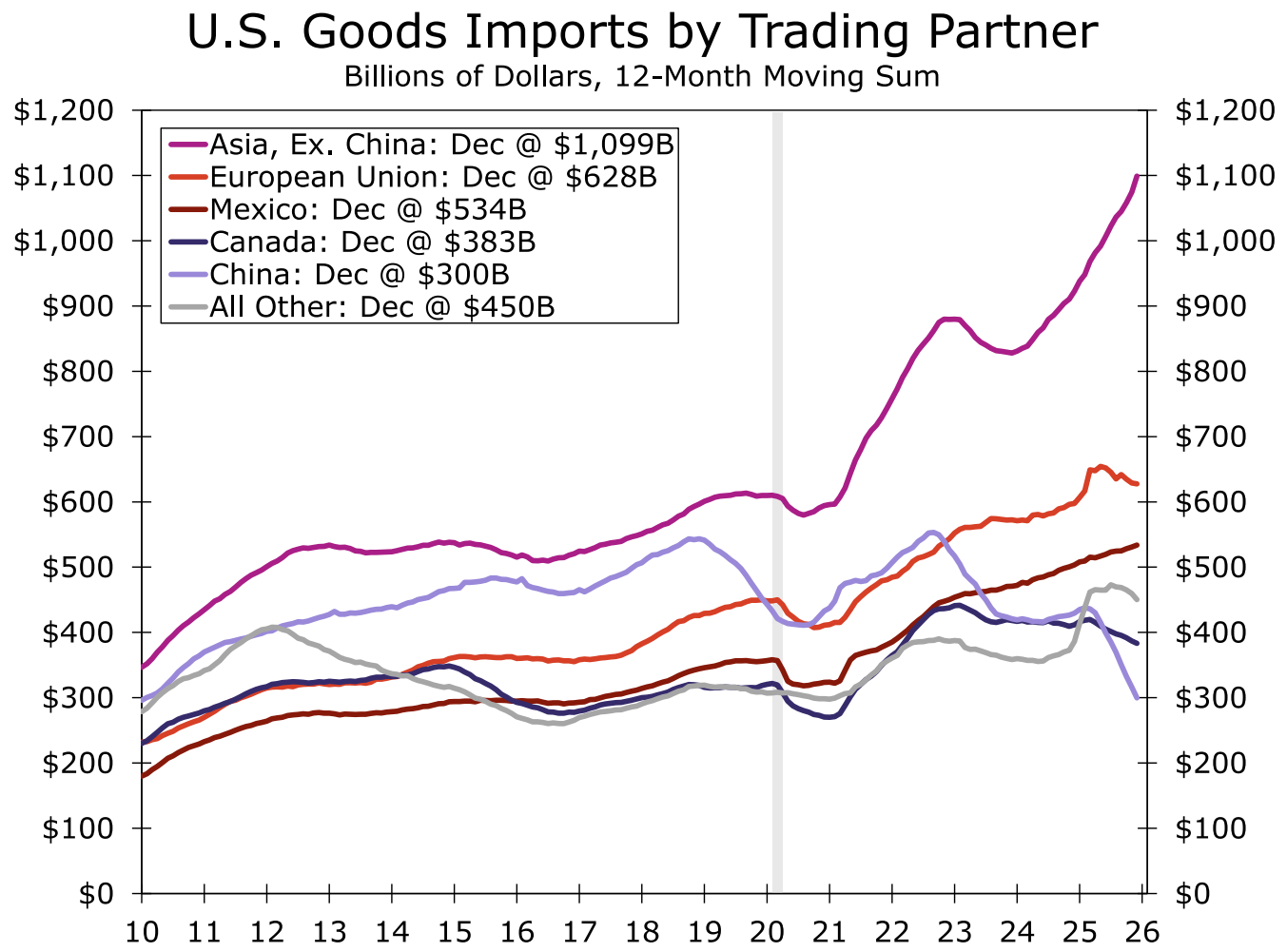
Supply Chains in Motion: Structural Shift or Tactical Workaround?

Tariffs also coincided with notable shifts in the geographic composition of U.S. imports. As shown in Figure 2, imports from China declined sharply, while shipments from other Asian economies increased. Figure 3 highlights the countries that gained—and lost—share of U.S. imports over the year. In particular, Taiwan, Vietnam and Thailand more than offset the decline in imports from China, at least in aggregate terms.

Whether this pattern reflects a genuine reorientation of global supply chains or merely a rerouting of trade flows is difficult to determine with certainty; it could well be a little of both. Source country does not necessarily imply source product either, and there is precedent for firms adjusting final assembly locations to mitigate tariff exposure. Following the first U.S.–China trade war in 2017–2019, for example, Chinese firms established or expanded production facilities in Southeast Asia, blurring the distinction between diversification and transshipment. The current data likely reflect some combination of both dynamics.

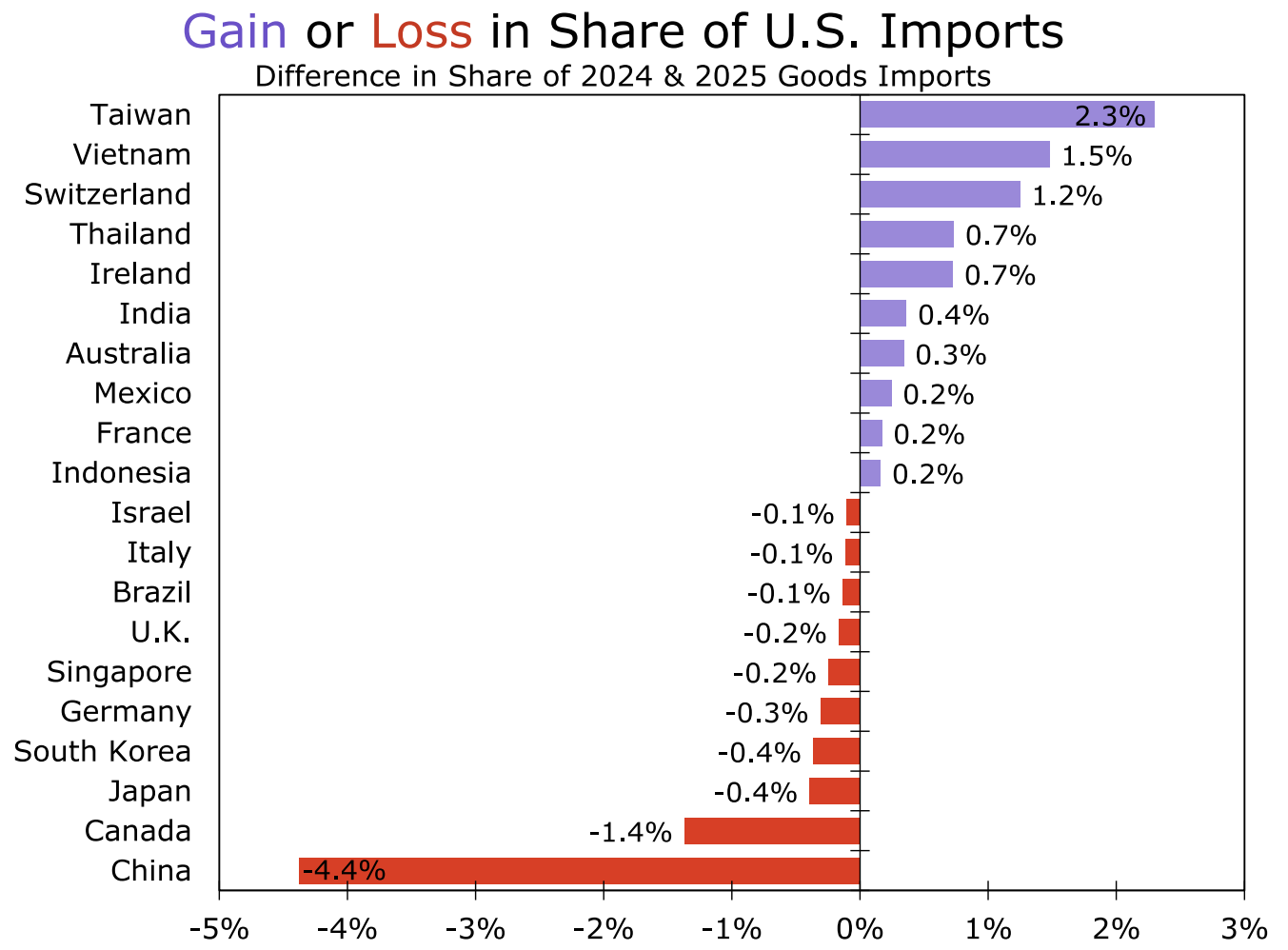
Not all country-level shifts appear structural. Some look temporary and category-specific. Imports from Switzerland, for instance, were driven largely by a surge in gold-related inflows, while imports from Ireland were boosted by pharmaceutical products—a category in which Ireland accounts for roughly 40% of total U.S. imports. In both cases, demand appears to have been at least partially pulled forward ahead of potential tariff changes, and both series are historically volatile.

Figure 2



Source: U.S. Department of Commerce and Wells Fargo Economics

Figure 3



Source: U.S. Department of Commerce and Wells Fargo Economics

Cautious Adjustment, Not a Clean Break

Taken together, the data suggest that businesses are indeed reassessing supply chains in response to historically high tariffs—but the adjustment process remains incomplete. Rather than a wholesale retreat from global sourcing, the pattern so far is one of caution, selectivity and timing shifts. We repeatedly hear this anecdotally in our discussions with banking clients that source materials from overseas. Firms are willing to import when the strategic value is high, but understandably reluctant to expand exposure broadly amid policy uncertainty.

With underlying imports suppressed by hesitation rather than capacity constraints, goods imports may be ripe for a rebound in coming months, even despite tariffs. Lean inventories require replenishment whether or not uncertainty persists. Headline import growth is likely to remain a poor guide to the true state of trade, masking weakness beneath a narrow set of resilient—and strategically important—categories. The Supreme Court ruling doesn't reset trade policy, and President Trump's swift actions signal tariffs are here to stay even if they are adjusted in coming months.

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Economics

February 9, 2026

January CPI Preview: Shutdown Quirks Fade, Seasonal Issues Reemerge

Special Commentary

Economist(s)

Sarah House

Michael Pugliese

Nicole Cervi

Summary

- We expect a *somewhat* cleaner read on price growth from the January CPI report as the ripple effects from last fall's record-long government shutdown fade. The report has been delayed by the most recent government shutdown, but the brief closure did not affect data collection. With the BLS able to collect and process data as usual in each of the past two months, January's monthly change in prices should be largely free from shutdown-related quirks.
- New seasonal adjustment factors will be incorporated with this release and leave the past five years' data subject to revision. We expect that the updated seasonal factors will still to struggle to fully account for early-year price hikes. Last January's jump in prices should lead the new seasonal factors to "expect" a bit more strength the first month of this year, but we are concerned that the pandemic period is still causing seasonal distortions in the data.
- We expect the core index to increase 0.33% in January compared to an average increase of 0.22% the prior 12 months. A solid rise in January is unlikely to be entirely a statistical mirage. Rather, we believe it will reflect some delayed pass-through of tariff costs to consumers as suppliers renegotiate contracts, businesses restock inventory and companies test pricing power. We look for core goods prices to rise 0.33%. Used vehicles should underpin the pickup, but we also look for broad strength outside vehicles that would leave the core goods index up 1.4% year-over-year.
- Core services prices also have been prone to pop in January, but we look for a 0.33% increase that would be only moderately above the recent pace. Market-based rents are still pointing to primary shelter receding on trend, and travel-related prices have less scope to jump after a big rebound in December. While price growth among remaining "other" services is likely to pick up in January, we expect the increase to be tempered by outright declines in health and motor vehicle insurance prices.
- On a headline basis, we look for headline CPI to rise a more modest 0.25% in January. The unwinding of shutdown-quirks alongside cooler food-related commodities should lead to softer food inflation. Lower gasoline prices should also temper the headline gain. That said, we expect another solid increase in energy services. Natural gas prices, which typically lead piped gas services by about a month, had already risen ahead of Winter Storm Fern, while growing electricity demand and the need to upgrade aging infrastructure are leading to rate hikes for consumers this year.
- The softer monthly increase in headline CPI should pull the year-over-year rate to 2.4% in January from 2.7% in December. Core inflation should also edge down on a year-over-year basis, landing at nearly a five-year low of 2.5%. We do not expect the CPI to cool much further over the course of 2026, however. The unwinding of a lingering shutdown-quirk in shelter will boost both headline and core inflation in April. That bump is likely to occur alongside a still-solid demand backdrop, as easier fiscal and monetary policy are poised to counteract the drag from the struggling labor market.

January 2026 Forecast

	Month-over-Month % Change		Year-over-Year % Change	
	Forecast	*Prior*	*Forecast*	*Prior*
Seasonally Adjusted	**Jan.**	**Dec.**	**Jan.**	**Dec.**
CPI (Consensus)	0.30	0.30	2.5	2.7
CPI (WF Estimate)	0.25	0.31	2.4	2.7
Food	0.22	0.71	2.9	3.1
Food at Home	0.25	0.72	2.2	2.4
Food Away from Home	0.18	0.69	4.0	4.1
Energy	-0.63	0.30	0.3	2.0
Energy Goods	-2.10	-0.39	-6.9	-3.0
Energy Services	0.80	0.98	8.1	7.5
Core CPI (Consensus)	0.30	0.30	2.5	2.7
Core CPI (WF Estimate)	0.33	0.24	2.5	2.6
Goods	0.33	0.00	1.4	1.4
Vehicles	0.39	-0.39	0.4	0.8
Other Goods	0.29	0.23	2.2	1.8
Services	0.33	0.29	2.9	3.0
Primary Shelter	0.28	0.30	3.2	3.3
"Super Core"**	0.41	0.55	2.5	2.9
Not Seasonally Adjusted	**Index**	**MoM (%)**	**YoY (%)**	
CPI (Consensus)	325.539	0.42	—	
CPI (WF Estimate)	325.408	0.42	2.4	

Forecast as of: February 09, 2026; Bloomberg Consensus

**Core services CPI excluding rent of primary residence and owners' equivalent rent (i.e., excluding "Primary Shelter")

Source: U.S. Department of Labor, Bloomberg Finance L.P. and Wells Fargo Economics

Wells Fargo U.S. Inflation Forecast

	Actual				Forecast							
	2025				2026				2027			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
CPI (YoY)	2.7	2.5	2.9	2.7	2.6	2.8	2.7	2.7	2.5	2.3	2.3	2.3
QoQ Annualized	3.8	1.6	3.1	2.3	3.1	2.8	2.4	2.3	2.3	2.3	2.2	2.2
Core CPI (YoY)	3.1	2.8	3.1	2.7	2.6	2.8	2.5	2.6	2.4	2.3	2.3	2.3
QoQ Annualized	3.5	2.1	3.3	1.8	3.1	2.8	2.3	2.3	2.3	2.3	2.2	2.2
PCE Deflator (YoY)	2.6	2.4	2.7	2.8	2.8	2.9	2.7	2.6	2.3	2.2	2.1	2.1
QoQ Annualized	3.4	2.1	2.8	2.8	3.3	2.6	2.2	2.1	2.2	2.1	2.1	2.0
Core PCE Deflator (YoY)	2.8	2.7	2.9	2.8	2.9	2.9	2.7	2.60	2.3	2.2	2.2	2.2
QoQ Annualized	3.3	2.6	2.9	2.6	3.4	2.6	2.2	2.2	2.2	2.2	2.1	2.1

Forecast as of: February 9, 2026

Note: All numbers are percent change.

Source: U.S. Department of Labor and Wells Fargo Economics

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Economics

February 6, 2026

Gold Is Fixing the Trade Deficit, but Only on Paper

Special Commentary

Economist(s)

ⁿ Tim Quinlan

Shannon Grein

Andrew L Thompson

Summary

Soaring gold prices and heavy overseas demand have pushed large volumes of physical gold out of the U.S., mechanically narrowing the trade deficit. But don't mistake this for an economic improvement.

Gold transfers reflect asset reallocation under geopolitical stress, not *real* economic activity, which is why the Bureau of Economic Analysis largely strips it out of GDP. When gold is excluded, the trade deficit looks worse than the headline suggests.

All That Glitters Is Not Growth

From 2000 through 2020, the spot price of gold averaged less than $1,000 per ounce. In 2020, gold broke above $2,000 for the first time. By March 2025 it crossed $3,000, by October it surpassed $4,000, and today gold is trading near $5,000 per ounce.

Gold and other precious metals are now at- or near-record highs as investors and central banks seek protection from geopolitical risk, policy uncertainty, and declining real interest rates. Offering forward-looking price guidance is outside the scope of this report. The boneyard of economists who have tried to forecast gold prices is already crowded enough without adding ours to the pile.

What matters for understanding gold right now is not the price forecast, but the composition of demand. The appetite for gold is increasingly being driven by large institutional buyers and ETFs, as well as by overseas investors. Some crypto-related firms are also purchasing physical gold to back gold-linked tokens.[1] As a result, substantial quantities of gold are being *shipped out* of the United States.

This surge in precious-metals exports has mechanically narrowed the U.S. trade deficit. Under normal circumstances, a narrowing trade deficit would be supportive of measured GDP growth. In this case, however, appearances are misleading.

The reason is straightforward: most gold moving across borders reflects asset reallocation, not *real* economic activity. Non-monetary gold trade does not represent the production of new goods or services, so it does not meaningfully contribute to GDP. Consequently, the recent "gold rush" will not show up as stronger economic growth, even though it is having a visible impact on headline trade statistics.

This distinction matters because it underscores why the apparent "normalization" in the trade deficit is anything but.

Why Gold Trade Is Largely Excluded From GDP

The Bureau of Economic Analysis (BEA) is tasked with measuring economic production, not the reshuffling of existing assets. Gold generally serves one of two purposes: it is either used as an input into production (for example, jewelry or electronics), or it is held as a store of value (bullion, bars, and coins). The bulk of gold crossing borders lately falls squarely into the second category (Figure 1).

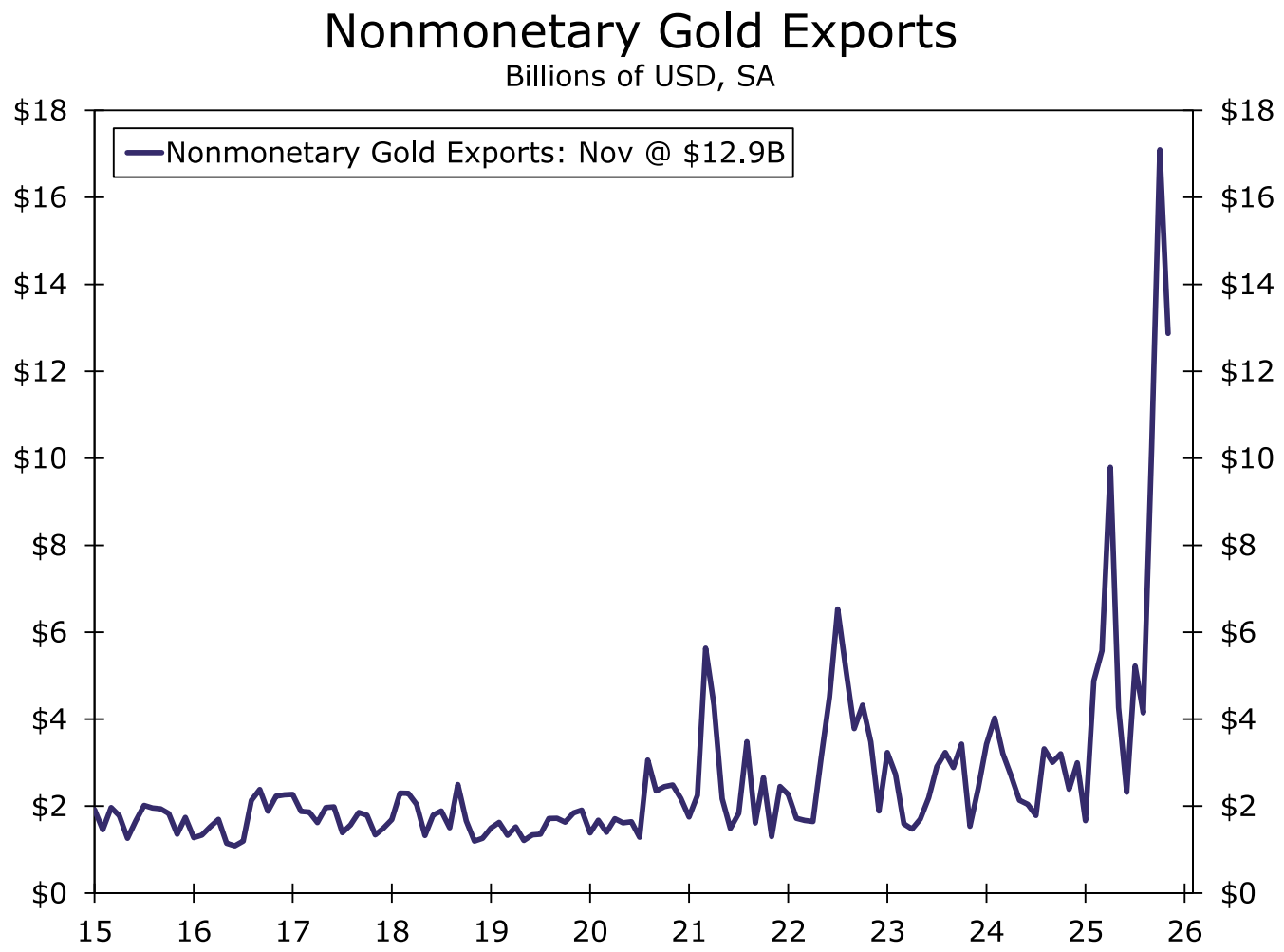
Because most non-monetary gold trade represents investment flows rather than production, the BEA strips gold imports and exports out of GDP. Instead of relying on volatile trade flows, the BEA uses a simpler proxy for gold net exports: domestic gold production minus industrial use.[2] Under normal conditions, this adjustment is small enough to go unnoticed. When gold trading surges, however, the wedge between headline trade data and GDP-relevant activity can become large.

That is precisely what is happening now. Large swings in gold imports and exports are distorting the trade numbers without signaling any meaningful change in underlying economic activity.

What the Latest Trade Data Show

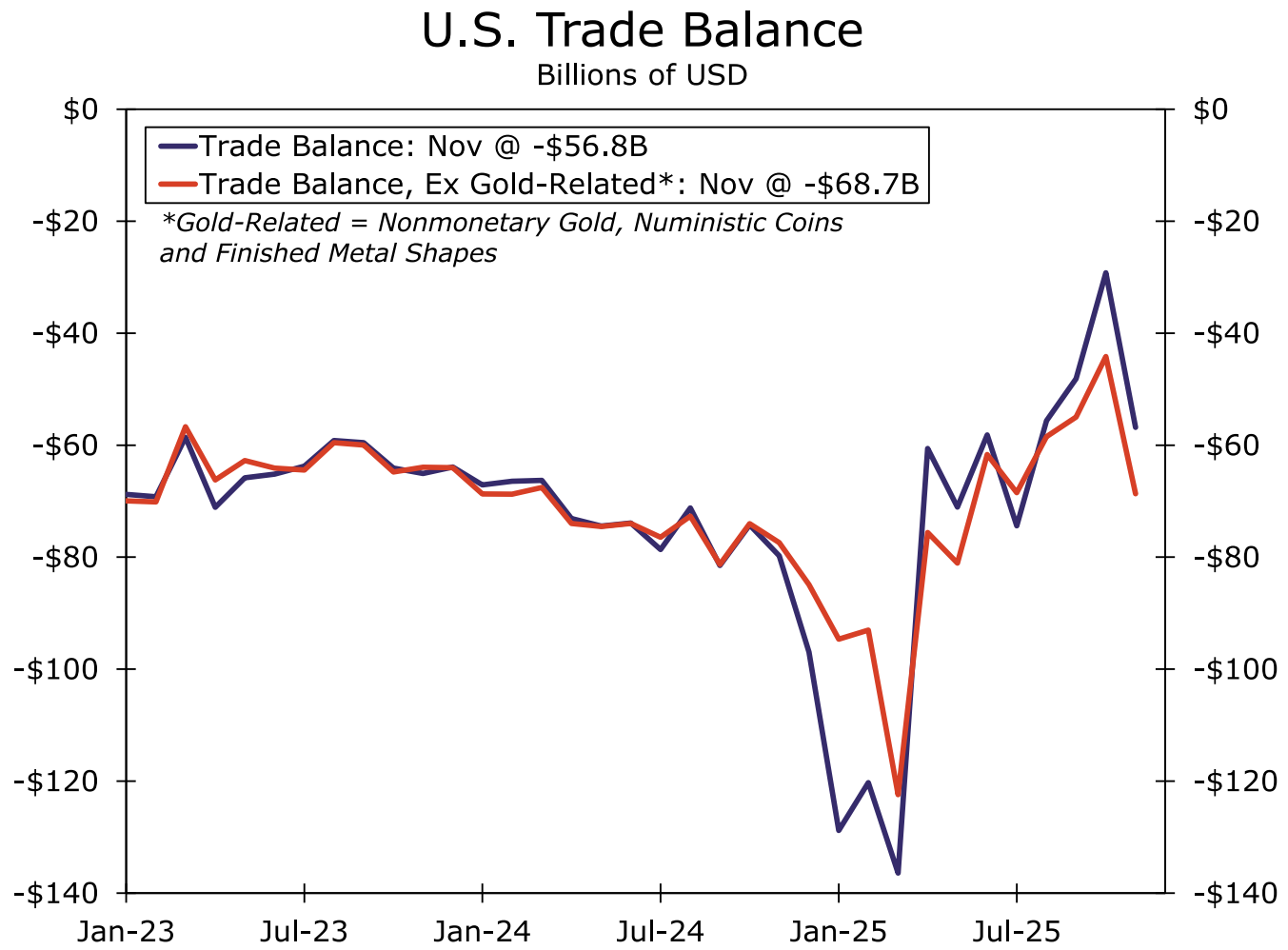
If non-monetary gold—along with a small handful of other investment-driven categories—is excluded from both exports and imports, the trade deficit is actually wider than headline figures suggest by almost $12 billion (Figure 2).[3] The gold trade has been masking ongoing imbalances rather than resolving them. A similar dynamic was at play in late 2024/early 2025, when imports of finished metal shapes surged ahead of expected tariff increases.

Figure 1



Source: U.S. Department of Commerce and Wells Fargo Economics

Figure 2



Source: U.S. Departmet of Commerce and Wells Fargo Economics

Two components are almost entirely responsible for the surge in gold exports today: bullion (unmarked or minimally processed gold) and gold bars.

Bullion exports have been running at more than twice their typical volume. Over the past three months, an average of roughly 75 metric tons of gold bullion has left the United States each month, compared with a post-pandemic monthly average closer to 30 metric tons. While this series has always been volatile, recent outflows have clustered near the upper end of the historical range.

The move in gold bars has been far more dramatic. For several years through mid-2025, gold bar exports averaged just 0.5 metric tons per month. That changed abruptly in late summer. Gold bar exports surged to approximately 11 metric tons in September—a more than sixteen-fold increase—before jumping again to over 50 metric tons in October. Exports then collapsed back toward trend in November.

When combined with soaring prices, these volume swings become even more striking in dollar terms. A sixteen-fold increase in the physical quantity of gold bars exported in September translated into roughly a twenty-fold increase in their dollar value. In other words, the volatility in gold exports reflects not just higher prices, but unusually large movements of physical metal out of the country.

Bottom Line

Gold's role in the recent trade data is a reminder that not all cross-border flows are created equal. Capital moving to shelter looks very different from goods moving to market, even if both pass through the same statistical tables. The BEA's treatment of non-monetary gold is not a technical footnote—it is a recognition of that fundamental distinction.

For readers of the data, the takeaway is simple but important: a narrower trade deficit driven by gold exports is not evidence of renewed economic strength. It is evidence of caution. And in moments like this, separating signal from shine matters more than ever.

Endnotes

1 - Reuters and Bloomberg both quote interviews with Paolo Ardonio, the CEO of Tether, about adding several tons of physical gold to its storage sites in Switzerland. (Return)

2 - See "How Are Exports and Imports of Nonomonetary Gold Treated in BEA's National Economic Accounts?" for more detail. (Return)

3 - The BEA BOP-basis category of non-monetary gold adds the census-basis categories of *non-monetary gold* (end-use code 12260 for exports and 14270 for imports), *numismatic coins* (end use 41300), and *finished metal shapes* (end use 12300 for exports, 15200 for imports) and then a separate BOP adjustment for gold transactions not captured by the Customs Protection Bureau. Note, this last category is not something we proxy in our gold-adjusted trade balance in Figure 2. (Return)

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